The Trading Floor: What Each Desk Actually Owns

A bulge-bracket floor is not a list of desks. It is five businesses sharing a room, and what separates them is not the product — it is the risk you are paid to hold overnight. Rates runs curve, credit runs default, securitized runs prepayment, equity derivatives runs a surface, prime runs a counterparty. Learn the risk and the product follows.

HOW THE FLOOR IS ACTUALLY ORGANIZED

The names people recite — FX, rates, IG, high yield, securitized, equities, equity derivatives — are all real seats, but they sit unevenly. IG and high yield are two halves of one Credit business; equities and equity derivatives are one business run at different risk. The desks that get left off are commodities, EM, repo and financing, distressed, loans, munis, converts and delta one. And capital introduction is not a trading desk at all — no book, no risk limit, no P&L of its own.

The Five Clusters

Cluster	Desks	The Risk You Actually Run	Typical Week
Macro	FX · Rates · STIR & Repo · EM · Commodities	Duration, curve, carry, vol and country. The central-bank calendar sets the week.	55 – 65 hrs Desk by 6:30; FX runs 24 hours
Credit	IG · High Yield · Distressed · Loans · Munis · Converts	Spread duration, default and downgrade, recovery, cash-vs-CDS basis.	55 – 70 hrs New-issue calendar driven
Securitized	Agency MBS · RMBS · CMBS · ABS · CLO	Prepayment and negative convexity, collateral and tranche waterfall.	55 – 65 hrs Most model-intensive cash seat
Equities	Cash Equities · Equity Derivatives · Delta One / ETF	Delta, the vol surface, skew, correlation, dividends and gap risk.	50 – 60 hrs Bound by the 9:30–16:00 bell
Financing	Prime Brokerage · Securities Lending · Cap Intro†	Counterparty, margin and financing spread. Often no directional book at all.	50 – 60 hrs Client- and balance-sheet-led

The Rest of the Floor

Desk	Why it belongs on the map
Short-Term Rates, Repo & Financing	The funding and collateral desk. Quiet most days, violent at quarter-end.
Emerging Markets	Macro, credit and convertibility risk in one book. Thin liquidity, headline gaps.
Commodities	Physical and derivative. Storage, transport and weather are the model.
Distressed & Special Situations	Underwrites a legal process and a recovery, not a spread.
Leveraged Loans	Settles in weeks, not days. The documents are the trade.
Municipals	A tax and retail-flow product before it is a credit product.
Convertibles	Equity delta, credit spread and vol in one instrument.
Delta One / ETF	Basis, tracking and financing. The bridge from equities into prime.

† Capital introduction is not a trading desk: it carries no book, no risk limit and no P&L of its own, and sits inside prime services as a client-relationship function. It is included above because it is commonly and wrongly listed alongside risk-taking desks. Desk structure, naming and cluster boundaries vary by bank; hours are self-reported estimates and vary by product and season. Educational only; not affiliated with or endorsed by any firm named.

Macro, Credit and Securitized: Reading the Risk

Macro

FX · RATES · STIR & REPO · EM · COMMODITIES

- **FX.** Spot, forwards, NDFs and options across G10 and EM. The only genuinely 24-hour book on the floor — handed Tokyo to London to New York, so you inherit whatever happened while you slept. Enormous flow, thin margins; the edge is franchise and speed, not views.
- **Rates.** Governments, futures, swaps, OIS, inflation, basis. The largest macro book and the most quantitative flow seat: you are trading the shape of a curve, not a price. The central-bank calendar sets the rhythm of the year.
- **Short-term rates, repo and financing.** Bills, OIS, FX swaps, collateral. You price funding scarcity, not direction — the plumbing seat that explains why every other desk can hold what it holds.
- **Emerging markets.** Local rates, hard-currency sovereigns and corporates, NDFs. Macro judgment stacked on credit work stacked on convertibility risk. Thin liquidity and headline gaps make sizing the skill.
- **Commodities.** Crude, refined products, natural gas, power, metals and ags — physical as well as derivative. Storage, transport and weather are the model. The least transferable seat on the floor, and the most differentiated.
- **Exits.** Global macro funds, FX and rates relative-value shops, and increasingly the macro pods inside multi-managers. The most portable cluster in the building if you can evidence a track record.

Credit ★

IG · HIGH YIELD · DISTRESSED · LEVERAGED LOANS · MUNIS · CONVERTS

- **IG credit.** Cash bonds, CDX IG, single-name CDS, new issue. Spread duration hedged against rates; the cash-versus-CDS basis is the recurring trade. Calendar-driven, and the closest desk on the floor to banking.
- **High yield.** HY cash, CDX HY, crossover names. Idiosyncratic default and downgrade risk, real fundamental work per issuer, smaller books and far wider bid/ask. This is where credit stops behaving like a rates product and starts behaving like equity.
- **Distressed and special situations.** Stressed bonds, bank debt, claims, post-reorg equity. You underwrite a legal process and a recovery. Longest holding period on the floor, and more analyst than trader.
- **Leveraged loans.** Term loan B, revolvers, CLO liabilities. Settlement runs in weeks rather than days and the credit agreement is the trade — covenants and docs decide outcomes.
- **Munis and converts** are the two everyone forgets. Munis are a tax and retail-flow product before they are a credit product. Converts fuse equity delta, credit spread and vol into one instrument — the classic hybrid quant seat.
- **Exits.** Credit funds, distressed and special-situations shops, CLO managers and the credit sleeves of multi-managers. Distressed is already most of the way to a buy-side job.

Securitized Products

AGENCY MBS / TBA · NON-AGENCY RMBS · CMBS · ABS · CLO TRANCHES

- **Agency MBS is the liquid core, and prepayment is the whole job.** The bond shortens when you want duration and extends when you do not. Negative convexity is not a footnote here; it is the product.
- **The cluster splits by collateral, not by rating.** Residential, commercial, consumer ABS and corporate CLO are four different research problems that happen to share a structuring language.
- **Everything non-agency is a structure trade.** RMBS, CMBS, ABS and CLO tranches put you in the waterfall: collateral decides the cash flows, structure decides who receives them.
- **Most model-intensive cash seat on the floor,** and the closest to structuring — the two sit together. Also the cluster most reshaped by 2008: smaller, more agency-weighted and more capital-constrained than the desk your seniors describe.
- **Exits.** Mortgage REITs, securitized-credit funds, insurance asset managers and agency-focused RV shops. A narrower list than macro, but a deep and well-paid one.

Desk names, cluster boundaries and reporting lines differ materially between banks; several of these seats are merged or split depending on the platform. Hours are self-reported community estimates and vary by product, season and region. Educational only; not affiliated with or endorsed by any firm named.

The Equity Floor, the Financing Desks, and What Is Not a Desk

Equities

CASH EQUITIES · EQUITY DERIVATIVES · DELTA ONE / ETF

- **Cash equities.** Single stocks, ADRs, blocks, program and portfolio trades. Mostly agency or riskless principal — capital is committed on blocks. Electronification has shrunk this seat more than any other on the floor, and split it into high-touch and electronic.
- **Equity derivatives.** Listed and OTC options, variance, dispersion, structured notes, exotics. You trade a surface, not a price: skew, term structure, correlation, dividends. Flow and exotics are two different jobs.
- **Delta One / ETF.** ETFs, swaps, futures, baskets and securities lending. Basis, tracking error, financing spread and dividend treatment. Sits between trading and financing, and is the natural bridge from equities into prime.
- **Exits.** Multi-manager pods take equity derivatives and delta one readily. Cash-equities exits are thinner and increasingly technical — the seat is being automated out from underneath itself.

Financing and Client Services

PRIME BROKERAGE · SECURITIES LENDING · CAPITAL INTRODUCTION

- **Prime brokerage.** Financing, custody, securities lending and synthetic exposure for hedge funds. The risk is counterparty and margin, not direction — the risk that made Archegos a household name.
- **Securities lending.** The short side's supply chain — locate, borrow, recall. Specials pricing is its own market, and a surprising share of prime revenue is made here rather than on financing spread.
- **Cap intro is not a trading desk.** It introduces hedge fund clients to allocators. No book, no risk limit, no P&L of its own. Keep it on the map, but not in the risk column.
- **Also on the floor and also not desks:** structuring, XVA and the central risk book, treasury and ALM, sales and research. They price, hedge or distribute other desks' risk rather than own it.
- **Exits.** Usually into the funds you serviced — treasury, financing or operations seats. Rarely into a risk-taking role, which is the honest trade-off of the cluster.

Reading Any Desk in Four Questions ★

THE TEST THAT SURVIVES EVERY DESK NAME A BANK INVENTS

- **What does it hold overnight?** The answer is a risk, not a product: curve, default, prepayment, a vol surface, a counterparty. If you cannot name it, you do not know the desk.
- **Is it flow or structured?** Flow is franchise, speed and thin margins on huge volume. Structured is fewer, larger, model-driven trades. They are different jobs with different people.
- **Where is the edge — franchise, model or balance sheet?** FX and cash equities win on franchise, exotics and securitized on model, prime and repo on balance sheet.
- **Where does it exit?** Macro and rates to global macro funds, credit to credit and distressed funds, equity derivatives and delta one to multi-manager pods, prime to the funds it serviced.

Failure mode: naming a desk in an interview and being unable to name the risk it holds overnight.

The product is the label. The risk is the job.

Take the 60-second quiz and get a personalized path from your current profile to the next seat on it.

TAKE THE QUIZ → wallstalpha.com/apply

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